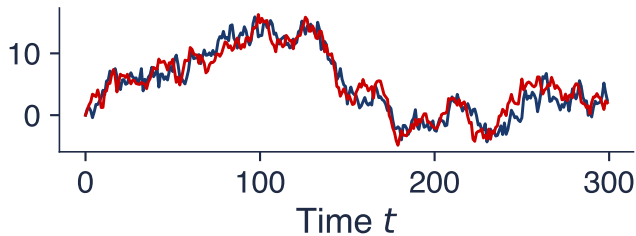
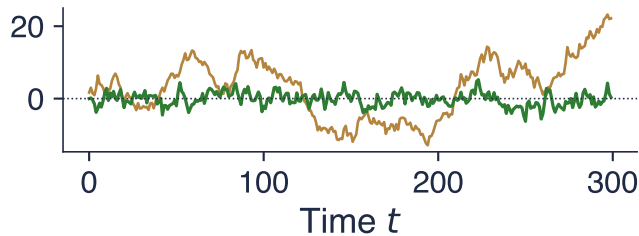


Cointegrated pair: both $I(1)$



The spread: $I(0)$ only
under cointegration



— y_{1t} — $w_{1t} - w_{2t}$: independent random walks — $\beta' y_t = y_{1t} - y_{2t}$: cointegrated
— y_{2t}